Student activity

Think: Prepare a flow chart/mind map to show how entries are posted from subsidiary books to ledger?

6.9 Bills of exchange

6.9.1 Introduction

To increase the sales, a seller sells the goods on credit to his customers. If sale is made on credit, cash will not be received immediately. The seller may draw a bill on the customer for the amount due from him. If the customer accepts it, the seller can get the same discounted with the bank and get cash immediately.

6.9.2 Definition of bill of exchange

According to the Negotiable Instruments Act, 1881, "Bill of exchange is an instrument in writing containing an unconditional order, signed by the maker, directing a certain person to pay a certain sum of money only to, or to the order of a certain person or to the bearer of the instrument".

6.9.3 Features of bills of exchange

An analysis of the definition given above, highlights the following important features of a bill of exchange:

(i) It is a written document.
(ii) It is an unconditional order.
(iii) It is an order to pay a certain sum of money.
(iv) It is signed by the drawer.
(v) It bears stamp or it is drafted on a stamp paper.
(vi) It is to be accepted by the acceptor.
(vii) The amount of the bill is paid to the drawer or the endorsee.

6.9.4 Specimen of bill of exchange

Bill of exchange

Stamp

328, Bazaar Street,
Saidapet, Chennai-15
01.06.2017

₹ 10,000/-

Three months after date pay to me or to my order the sum of Rupees Ten Thousand only for value received

To
Thiru. Jothi Kumar,
430, Mint Street,
Chennai- 1.

Ramesh Babu

6.9.5 Important terms

Explanation of some terms connected with bill of exchange is given below:

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